COURSE

## Pearson Edexcel International GCSE in Business (4BS1)

# Business operations

**Section 5 · 5.2 Production · 5.2.1 Production processes**

Revision for Section 5: each firm works it out on its own deals.

| Class | Topic |
|---|---|
| **Pearson Edexcel International GCSE Business (4BS1)** | **Business operations** |

THE LESSON

| | | | | |
|---|---|---|---|---|
| **Setup** | | | | 3 min |
| **Round 1** | | | | Decisions 3 min · Deals 5 min · Topic tasks 4 min |
| **Firm decisions** | **Deals** | **Topic task 1** | **Topic task 2** | |
| **Round 2** | | | | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| **Firm decisions** | **Deals** | **Topic task 3** | **Topic task 4** | **B2B deal** |
| **Round 3** | | | | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| **Firm decisions** | **Deals** | **Topic task 5** | **Topic task 6** | **B2B deal** |
| **Final questions** | | | | 3 min |

Fits a 30-minute lesson setting; longer settings add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** FROM ROUND 2 | Buy property or funds. The value can rise or fall. |
| **Operations** | **Seasonal stock** | Order the season's cars in advance. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

The prep workshop.

**Cars prepared per member of staff a day?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Cars prepared a week | **60 cars** |
| Staff | **6 staff** |
| Days worked a week | **5 days** |

METHOD

**Per staff a day = cars a week ÷ staff ÷ days**

60 ÷ 6 = 10 a week; ÷ 5 = 2 cars

**Why:** Productivity is output for each worker in a set time.

## Task 2

ROUND 1

Your prep workshop is slow.

**Which two would raise output per worker?**

PICK TWO

- ✔ **Buy better equipment**
- ○ Cut the hours staff work
- ○ Hire more staff with the same tools
- ○ Raise your prices
- ✔ **Train staff in faster methods**

**Why:** Productivity is output per worker; more staff raise output, not productivity.

## Task 3

ROUND 2

Three workshops: cars prepared a week, and the staff who prepare them.

**Order by productivity, highest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **24 cars, 4 staff**
2. **40 cars, 8 staff**
3. **45 cars, 15 staff**

**Why:** Cars per worker: 6, 5 and 3. The busiest workshop is the least productive.

## Task 4

ROUND 2

More staff, more cars.

**New cars prepared per member of staff?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Cars prepared a week | **28 cars** |
| Staff | **4 staff** |
| Extra staff | **3 staff** |
| Extra cars prepared a week | **28 cars** |

METHOD

**Per staff = (cars + extra cars) ÷ (staff + extra staff)**

(28 + 28) ÷ (4 + 3) = 8 cars

**Why:** Productivity rose from 7 to 8 cars per worker.

## Task 5

ROUND 3

Your workshop is fully booked. A one-off big order arrives.

**How should you handle it, and why?**

PICK A OR B AND GIVE A REASON

- ○ Build a new prep bay
- ✔ **Pay overtime for this order**

**Why:** A one-off order does not justify the cost of a new bay.

## Task 6

ROUND 3

New tools and training.

**Rise in cars per worker, as a %?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Cars a week, before | **16 cars** |
| Staff, before | **4 staff** |
| Cars a week, after | **18 cars** |
| Staff, after | **3 staff** |

METHOD

**Rise % = (cars per worker after − before) ÷ before × 100**

16 ÷ 4 = 4; 18 ÷ 3 = 6; (6 − 4) ÷ 4 × 100 = 50%

**Why:** Each worker now prepares 6 cars a week, not 4.

# Final questions

**6**
questions for each pupil

**159**
Level 2 Business questions

**6**
of them on business operations

**The game draws 6 of the 159 Level 2 questions; these 6 are about business operations.**

1 Which situation is best suited to job production?
**Restoring one classic car to a customer's wishes.**

2 A parts maker produces twenty identical service kits, then resets the equipment to make a different kit. Which production method is this?
**Batch production.**

3 What is a likely advantage of flow production for standardised components?
**High volumes at a low cost per unit.**

4 A workshop queues every Saturday but has spare weekday capacity. What should it do before paying for a permanent extra bay?
**First test moving work to weekdays.**

5 A viral review causes a sudden rise in service bookings. What is the best short-term response?
**Prioritise bookings and add trained help.**

6 Labour productivity = total output ÷ number of employees. Example: 400 services ÷ 10 technicians = 40 per technician. Now 540 services and 12 technicians: what is labour productivity?
**45 services per technician.**